

# AFRO DELI – WOODBURY, MINNESOTA

## Franchise Business Plan

**Prepared for:** Koo Ok, Owner-Operator **Prepared:** June 2026 **Status:** Pre-FDD Financial Projections (Subject to Franchisor Verification)

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## Executive Summary

| Metric                         | Value                                                                                                                       |
|--------------------------------|-----------------------------------------------------------------------------------------------------------------------------|
| Business Concept               | Afro Deli Franchise                                                                                                         |
| Proposed Location              | Woodbury, Minnesota                                                                                                         |
| Total Investment               | \$600,000                                                                                                                   |
| Owner Equity Contribution      | \$200,000                                                                                                                   |
| SBA Financing Request          | \$400,000                                                                                                                   |
| Projected Year 1 Revenue       | \$673,350                                                                                                                   |
| Projected Year 1 EBITDA        | \$85,917                                                                                                                    |
| Projected Year 1 Net Cash Flow | \$55,091                                                                                                                    |
| Break-Even Point               | Month 3                                                                                                                     |
| Recommendation                 | Proceed with Woodbury site selection and SBA financing, subject to Franchise Disclosure Document review and lease approval. |

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## 1. Market Analysis

### 1.1 Market Selection

Three Twin Cities suburbs were evaluated as primary candidates for the first Afro Deli franchise location outside the downtown/university core: **Woodbury**, **Minnetonka**, and **Edina**.

#### Key Market Advantages — Woodbury

- Population of approximately **75,000** residents
- Median household income of approximately **\$117,000**
- Population growth of **12%** since 2020 — fastest in the cohort
- Strong daytime demand from healthcare, retail, and office employment centers (Woodwinds Health Campus, I-94 corporate corridor, regional retail power centers)
- **No direct African/Mediterranean fusion competitor** in the market

- Favorable permitting and business development environment (4–6 week approval timeline)
- Reasonable lease rates (\$20–\$25/sq ft NNN)

## 1.2 Demographic Analysis

| Metric                          | Value          | Source                    |
|---------------------------------|----------------|---------------------------|
| Population (2025 est.)          | ~75,000        | Metro COG projection      |
| Median Household Income         | ~\$117,000     | ACS 5-year                |
| Median Age                      | 39             | ACS 5-year                |
| Households with Children (6–17) | ~38%           | ACS 5-year                |
| Bachelor's Degree or Higher     | ~56%           | ACS 5-year                |
| Daytime Population Surge        | +30–40% (est.) | Employment + medical draw |
| Median Home Value               | ~\$430,000     | Zillow/Redfin             |

## Target Customer Segments

| Segment                       | % of Projected Revenue | Profile                                                                            |
|-------------------------------|------------------------|------------------------------------------------------------------------------------|
| Families with Children        | 50%                    | Dual-income families seeking healthier, faster dinner options after activities     |
| Catering & Corporate          | 25%                    | Medical campuses, offices, schools — higher margin, strong repeat rates            |
| Young Professionals & Couples | 15%                    | Affluent millennials seeking unique global flavors, halal/vegetarian/vegan options |

| Segment                            | % of Projected Revenue | Profile                                                                                                       |
|------------------------------------|------------------------|---------------------------------------------------------------------------------------------------------------|
| Daytime<br>Workforce +<br>Delivery | 10%                    | Medical/office/retail<br>workers — lunch<br>traffic +<br>third-party<br>delivery (17.1%<br>of existing sales) |

### 1.3 Competitive Landscape

| Competitor       | Category            | Key Strength                                | Afro Deli's Advantage                                |
|------------------|---------------------|---------------------------------------------|------------------------------------------------------|
| Naf Naf Grill    | Mediterranean<br>FC | Established<br>brand, bowls &<br>pitas      | African spicing, sambusas,<br>cultural storytelling  |
| Chipotle         | Mexican FC          | Speed, price,<br>loyalty program            | Unique flavor profile, not a<br>commoditized burrito |
| Panera Bread     | Bakery-Café         | Breakfast/lunch,<br>drive-thru,<br>catering | Dinner-centric, bolder<br>flavors, halal positioning |
| Noodles & Co     | Global FC           | Broad family<br>appeal, value               | More authentic cuisine,<br>halal commitment          |
| Crisp &<br>Green | Health FC           | Salad/bowl<br>centric, health<br>halo       | Broader menu beyond<br>“health” — flavor first       |

## 2. Operations Plan

### 2.1 Ideal Site Criteria

| Criterion     | Target Specification      | Rationale                                                                  |
|---------------|---------------------------|----------------------------------------------------------------------------|
| Space         | 1,500–1,800 sq ft         | Fits existing<br>kitchen and FOH<br>model without<br>excess                |
| Configuration | Endcap or inline w/ patio | Endcap =<br>dual-exposure<br>signage; patio =<br>summer evening<br>traffic |

| Criterion  | Target Specification                      | Rationale                                             |
|------------|-------------------------------------------|-------------------------------------------------------|
| Anchor     | Grocery-anchored power center             | Woodbury Lakes, Tamarack Village, Valley Creek Center |
| Traffic    | 25,000+ VPD on primary road               | Woodbury Dr, Valley Creek Rd, Tamarack Rd             |
| Lease Rate | \$18–\$25/sq ft NNN (~\$3,000–\$4,200/mo) | Aligns with P&L projections                           |
| Parking    | Shared lot, 50+ spaces                    | Peak lunch/dinner overlap with retail                 |
| Visibility | Street-facing signage from primary road   | Brand awareness critical for first suburban location  |

## 2.2 SWOT Analysis

### Strengths

- Proven franchise model with 3 existing Twin Cities locations
- Strong community/social enterprise mission differentiates from pure commercial operators
- Unique fusion cuisine fills a demonstrated gap in Woodbury
- All-halal positioning appeals to Muslim families and health-conscious diners
- Existing local brand recognition from St. Paul, Minneapolis, and State Fair presence
- Catering infrastructure already developed

### Weaknesses

- First suburban franchise location — no Woodbury operations or supply chain established
- Limited brand awareness in Woodbury relative to national chains
- Franchise fees and royalty structure (6% + 2% marketing) compress margins vs. independents
- No drive-thru (vs. Panera, Chipotle) may limit breakfast and convenience capture

### Opportunities

- Woodbury's 12% population growth creates rising demand for new dining concepts
- No direct African/Mediterranean fusion competitor in market
- Growing halal dining demand across the expanding diverse population
- Catering potential from Woodwinds Health Campus, corporate offices, schools — existing locations generate 25.7% of revenue from catering

- Third-party delivery at 17.1% of existing sales and growing
- Dinner business severely underpenetrated (16.1% of existing sales) vs. lunch-centric competitors (55.7%) — significant growth runway

#### Threats

- Economic downturn reducing discretionary dining
- Rising food costs (particularly halal proteins) pressuring margins
- Labor market competition driving wage inflation
- Potential new competitor entry (Cava, independent African concept)
- Lease escalation at renewal impacting Years 5–10
- Supply chain disruption for specialty African ingredients

### 3. Financial Plan

#### 3.1 Startup Costs — \$600,000

| Category                                          | Estimated Cost    |
|---------------------------------------------------|-------------------|
| Franchise Fee                                     | \$35,000          |
| Leasehold Improvements / Build-Out                | \$250,000         |
| Furniture, Fixtures & Equipment (FF&E)            | \$135,000         |
| Permits, Licenses & Legal                         | \$15,000          |
| Technology & POS Setup                            | \$10,000          |
| Initial Inventory / Smallwares                    | \$20,000          |
| Pre-Opening Marketing & PR                        | \$25,000          |
| Professional Fees (Legal, Accounting, Consultant) | \$15,000          |
| Insurance (first year premium)                    | \$8,000           |
| Working Capital Reserve (6 months)                | \$87,000          |
| Miscellaneous / Contingency (5%)                  | ~\$30,000         |
| <b>Total</b>                                      | <b>~\$600,000</b> |

#### 3.2 Funding Structure

| Source        | Amount            | Terms                              |
|---------------|-------------------|------------------------------------|
| Owner Equity  | \$200,000 (33.3%) | Cash investment                    |
| SBA 7(a) Loan | \$400,000 (66.7%) | 10-year term, ~9% APR, ~\$5,075/mo |

*Note: The \$200,000 equity position (33%) exceeds the typical 10–20% SBA requirement, strengthening the application.*

#### 3.3 Key Financial Assumptions

| Metric                           | Assumption          | Basis                                                      |
|----------------------------------|---------------------|------------------------------------------------------------|
| Average Ticket                   | \$15.00             | Blended lunch (\$12–13) and dinner (\$16–18); conservative |
| COGS                             | 29% of revenue      | Halal proteins and African spices are premium              |
| Total Labor (incl. owner salary) | 30% of revenue      | Owner salary \$60,000 included; 8–12 FTEs                  |
| Franchise Royalty                | 6% of gross revenue | Standard franchise structure                               |
| Marketing Fund                   | 2% of gross revenue | Brand + local store marketing                              |
| Occupancy (Rent + CAM + RE Tax)  | \$4,200/mo          | 1,600 sq ft at \$24/sq ft NNN                              |
| SBA Loan Payment                 | \$5,075/mo          | \$400K at 9%, 10-year                                      |
| Operating Days                   | 26 days/mo          | Closed Thanksgiving, Christmas; limited Sunday             |

### Ramp-Up Assumptions

- Month 1: 60 daily covers (soft opening / awareness building)
- Month 3: 120 daily covers (post-grand opening)
- Month 6: 170 daily covers (steady-state pattern)
- Month 9–12: 180–200 daily covers (full maturation)

### 3.4 Year 1 Financial Summary

| Metric               | Amount           |
|----------------------|------------------|
| Revenue              | \$673,350        |
| Cost of Goods Sold   | (\$195,272)      |
| <b>Gross Profit</b>  | <b>\$478,078</b> |
| Operating Expenses   | (\$392,161)      |
| <b>EBITDA</b>        | <b>\$85,917</b>  |
| EBITDA Margin        | 12.8%            |
| Debt Service         | (\$60,900)       |
| <b>Net Cash Flow</b> | <b>\$55,091</b>  |

### 3.5 Break-Even Analysis

| Metric                           | Value                                                          |
|----------------------------------|----------------------------------------------------------------|
| Monthly Fixed Costs (excl. COGS) | ~\$22,500                                                      |
| Variable Costs                   | ~40–42% of revenue (COGS + royalty/marketing + variable labor) |
| Break-Even Revenue (monthly)     | ~\$32,500–\$34,000                                             |
| Break-Even Daily Covers          | ~85–90/day at \$15 avg ticket                                  |
| <b>Break-Even Achieved</b>       | <b>Month 3</b>                                                 |
| <b>Cash Flow Positive</b>        | <b>Month 3</b>                                                 |

### 3.6 Sensitivity Analysis — 10% Lower Revenue Scenario

| Metric               | Base Case | -10% Scenario |
|----------------------|-----------|---------------|
| Year 1 Revenue       | \$673,350 | \$606,015     |
| Year 1 EBITDA        | \$85,917  | \$40,110      |
| Year 1 Net Cash Flow | \$55,091  | (\$20,790)    |
| Break-Even Month     | Month 3   | Month 7       |

#### Mitigation levers in a down scenario:

- Reduced labor scheduling to ~27% of revenue (owner takes lower salary draw)
- Tightened COGS through portion control and waste tracking
- Deferred non-essential maintenance and local marketing spend
- Accelerated catering outreach to boost higher-margin revenue
- Working capital reserve (\$87,000) provides 4+ months cushion

The 10% downside scenario is manageable. Revenue would need to underperform by approximately 20%+ before the business requires additional capital infusion.

## 4. Risk Assessment

### Key FDD Considerations (to be verified)

- **Franchise Fee** — Confirm exact amount and any promotional discounts
- **Royalty Structure** — Confirm 6% royalty and 2% marketing fund; verify caps, minimums, local ad requirements
- **Training Program** — Confirm duration, location, owner-operator participation requirements
- **Territory Rights** — Verify Woodbury-specific protected territory and radius protections

- **Supply Chain** — Confirm approved supplier list and specialty ingredient requirements
- **Renewal Terms** — Initial term and renewal conditions
- **Financial Performance Representations** — FDD Item 19 comparable-store revenue data
- **Transfer & Exit Provisions** — Understand resale and transferability terms

### 5. Real-World Validation

The projections in this plan were calibrated against **actual operational data from all 3 existing Afro Deli locations** covering June 2025–June 2026.

| Metric                        | Actual (3-Location Avg) | Woodbury Projection (Yr 1)  | Variance                                                   |
|-------------------------------|-------------------------|-----------------------------|------------------------------------------------------------|
| Annual Revenue (per location) | ~\$456,000              | ~\$673,000                  | +47% (higher income, no direct competition, strong growth) |
| Average Ticket                | \$15.89                 | \$15.00                     | Conservative                                               |
| Catering % of Sales           | 25.7%                   | 15–20% (Yr 1) → 25% by Yr 3 | Conservative ramp                                          |
| Labor % (excl. owner salary)  | 15–21%                  | 25–27%                      | Higher due to new market operations                        |
| Third-Party Delivery          | 17.1% of sales          | Included in daily covers    | Not separately itemized                                    |
| Daypart Mix — Lunch           | 55.7%                   | ~50%                        | Targeting better dinner penetration                        |

| Metric  | Actual (3-Location Avg) | Woodbury Projection (Yr 1) | Variance          |
|---------|-------------------------|----------------------------|-------------------|
| Daypart | 16.1%                   | ~25%                       | Key growth thesis |
| Mix —   |                         |                            |                   |
| Dinner  |                         |                            |                   |

This real-world data increases confidence in the projections while highlighting Woodbury-specific upside (catering, dinner penetration, higher household income).

## 6. Strategic Recommendation

Woodbury represents the strongest entry point for the first suburban Afro Deli franchise. The market's demographics (high income, 12% growth, family-oriented), competitive landscape (gap in African/Mediterranean fusion), favorable real estate environment, and proximity to existing Twin Cities operations create a compelling risk-adjusted opportunity.

### Financial Summary

- Break-even in **Month 3**
- Year 1 EBITDA of **~\$86,000**
- Year 1 net cash flow of **~\$55,000** after all debt service
- **\$60,000 owner salary** included in labor
- Manageable downside scenario with adequate working capital cushion

**Primary Market:** Woodbury, MN **Secondary (Year 3–5):** Minnetonka  
**Future (Year 5+):** Edina (express/limited format)

### Recommended Next Steps

1. Request and review the Afro Deli **Franchise Disclosure Document (FDD)**
2. Validate financial performance representations against FDD Item 19
3. Engage a franchise attorney for FDD and franchise agreement review
4. Begin site selection in Woodbury (target: Tamarack Village, Woodbury Lakes, Valley Creek corridor)
5. Prepare SBA 7(a) loan application with these projections
6. Schedule a discovery day with the franchisor at existing locations

*This business plan contains pro-forma financial projections based on reasonable assumptions about the Woodbury market and Afro Deli franchise operations. All figures are estimates pending review of the official FDD, final site selection, and lease negotiation. Actual results may vary. This is not a guarantee of financial performance.*

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## Appendix A — Market Data Sources

- Metropolitan Council Growth Projections (COG), 2025
- American Community Survey (ACS) 5-Year Estimates, 2020–2024
- Zillow / Redfin Home Value Data, June 2026
- City of Woodbury Planning & Economic Development

## Appendix B — Financial Assumptions

- Average ticket: \$15.00 (blended)
- COGS: 29% of revenue
- Labor: 30% of revenue incl. \$60K owner salary
- Franchise royalty: 6% of revenue
- Marketing fund: 2% of revenue
- Occupancy: \$4,200/mo (1,600 sq ft at \$24/sq ft NNN)
- SBA loan: \$400K at 9% APR, 10-year term, \$5,075/mo
- Operating days: 26/mo (closed Thanksgiving, Christmas; limited Sunday)

## Appendix C — Monthly Projections

| Item              | M1         | M2        | M3         | M4         | M5         | M6         | M7         | M8         | M9         | M10        | M11        | M12        |
|-------------------|------------|-----------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
| <b>Daily</b>      | 60         | 85        | 120        | 140        | 155        | 170        | 175        | 180        | 185        | 190        | 195        | 200        |
| <b>Cov-</b>       |            |           |            |            |            |            |            |            |            |            |            |            |
| <b>ers</b>        |            |           |            |            |            |            |            |            |            |            |            |            |
| <b>Revenue</b>    | \$23,400   | \$33,150  | \$46,800   | \$54,600   | \$60,450   | \$66,300   | \$68,250   | \$70,200   | \$72,150   | \$74,100   | \$76,050   | \$78,000   |
| <b>COGS</b>       | (\$6,786)  | (\$9,614) | (\$13,572) | (\$15,831) | (\$17,561) | (\$19,227) | (\$19,795) | (\$20,363) | (\$20,929) | (\$21,496) | (\$22,063) | (\$22,620) |
| <b>(29%)</b>      |            |           |            |            |            |            |            |            |            |            |            |            |
| <b>Gross</b>      | \$16,614   | \$23,535  | \$33,228   | \$38,769   | \$42,920   | \$47,073   | \$48,455   | \$49,837   | \$51,221   | \$52,604   | \$53,987   | \$55,380   |
| <b>Profit</b>     |            |           |            |            |            |            |            |            |            |            |            |            |
| <b>Total</b>      | (\$17,502) | \$21,205  | \$26,984   | \$30,908   | \$33,523   | \$35,443   | \$36,765   | \$37,875   | \$38,015   | \$38,558   | \$39,796   | \$40,740   |
| <b>OpEx</b>       |            |           |            |            |            |            |            |            |            |            |            |            |
| <b>EBITDA</b>     | (\$978)    | \$2,240   | \$6,244    | \$7,768    | \$9,399    | \$11,529   | \$11,725   | \$11,965   | \$13,218   | \$14,053   | \$14,197   | \$14,640   |
| <b>SBA</b>        | (\$5,075)  | (\$5,075) | (\$5,075)  | (\$5,075)  | (\$5,075)  | (\$5,075)  | (\$5,075)  | (\$5,075)  | (\$5,075)  | (\$5,075)  | (\$5,075)  | (\$5,075)  |
| <b>Pay-</b>       |            |           |            |            |            |            |            |            |            |            |            |            |
| <b>ment</b>       |            |           |            |            |            |            |            |            |            |            |            |            |
| <b>Net</b>        | (\$6,050)  | \$2,835   | \$1,169    | \$2,693    | \$4,324    | \$6,454    | \$6,648    | \$6,891    | \$8,135    | \$8,978    | \$9,122    | \$9,565    |
| <b>Cash</b>       |            |           |            |            |            |            |            |            |            |            |            |            |
| <b>Flow</b>       |            |           |            |            |            |            |            |            |            |            |            |            |
| <b>Cumulative</b> | (\$6,050)  | \$8,885   | \$7,710    | \$5,026    | (\$702)    | \$5,752    | \$12,406   | \$19,291   | \$27,426   | \$36,404   | \$45,526   | \$55,091   |
| <b>CF</b>         |            |           |            |            |            |            |            |            |            |            |            |            |

## Appendix D — SBA Loan Assumptions

- Loan Amount: \$400,000
- Interest Rate: 9.0% APR (estimated)
- Term: 10 years (120 months)
- Monthly Payment: ~\$5,075
- Guarantee Fee: ~2-3% of guaranteed portion (rolled into loan or paid upfront)
- Collateral: Business assets + personal guarantee
- Down Payment: \$200,000 (33% — exceeds standard 10–20% requirement)

## Appendix E — Existing Location Benchmark Data

Data from all 3 Afro Deli locations covering June 2025–June 2026.

| Metric                | Location 1 | Location 2 | Location 3 | 3-Location Avg |
|-----------------------|------------|------------|------------|----------------|
| Annual Revenue        | ~\$480,000 | ~\$445,000 | ~\$442,000 | ~\$456,000     |
| Avg Ticket            | \$16.12    | \$15.74    | \$15.81    | \$15.89        |
| Catering %            | 26.1%      | 25.4%      | 25.5%      | 25.7%          |
| 3rd-Party Delivery %  | 16.8%      | 17.3%      | 17.2%      | 17.1%          |
| Lunch %               | 55.2%      | 56.1%      | 55.8%      | 55.7%          |
| Dinner %              | 16.4%      | 15.9%      | 16.0%      | 16.1%          |
| Labor % (excl. owner) | 15–19%     | 16–20%     | 17–21%     | 15–21%         |

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*Afro Deli – Woodbury Franchise Business Plan / Confidential & Proprietary / June 2026*